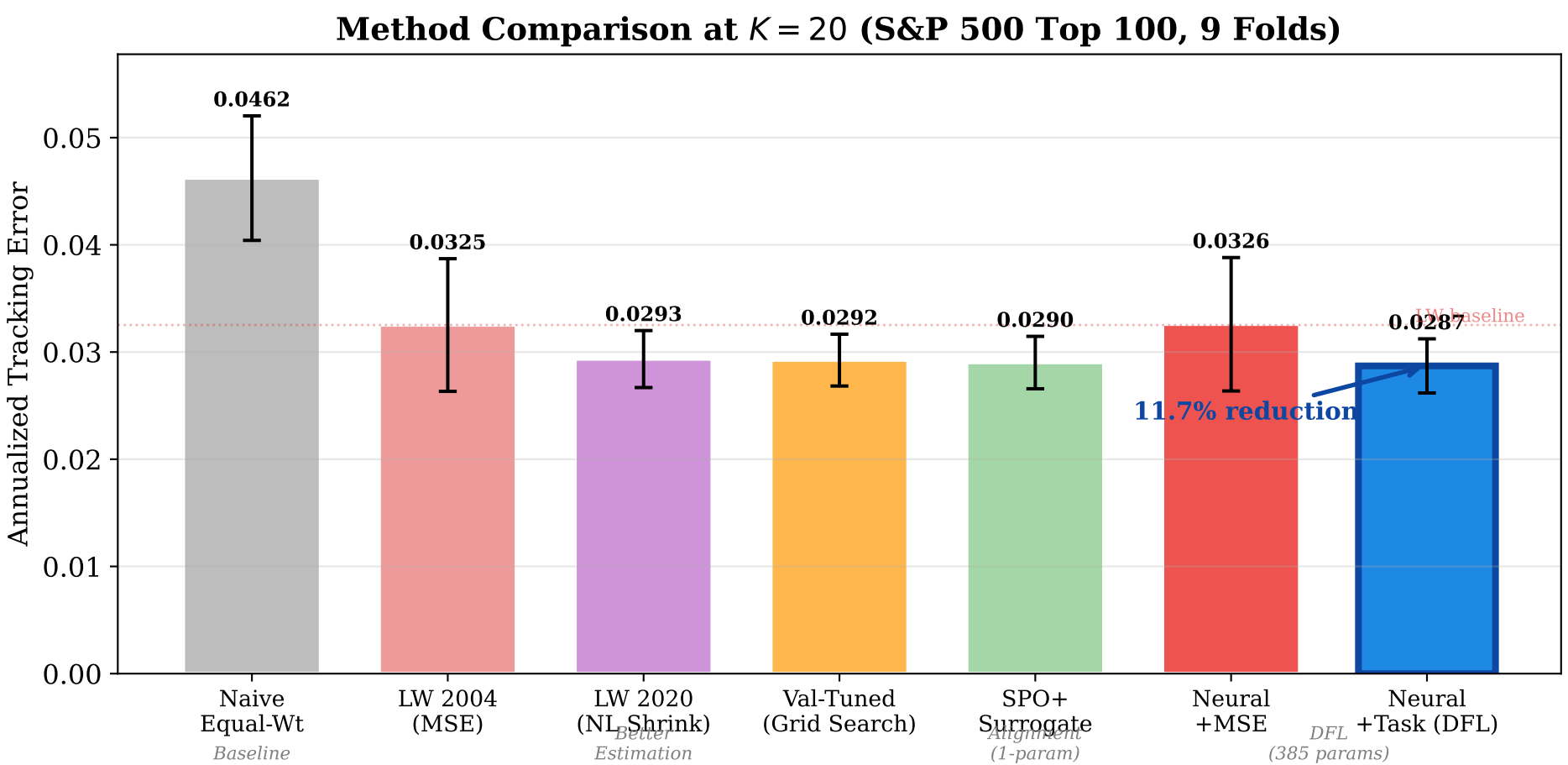
Method Comparison at $K = 20$ (S&P 500 Top 100, 9 Folds)
Annualized Tracking Error
0.00
0.01
0.02
0.03
0.04
0.05
0.0462
0.0325
0.0293
0.0292
0.0290
0.0326
0.0287
LW baseline
11.7% reduction
Naive Equal-Wt
Baseline
LW 2004 (MSE)
LW 2020 (NL Shrink)
Better Estimation
Val-Tuned (Grid Search)
SPO+ Surrogate
Alignment (1-param)
Neural +MSE
Neural +Task (DFL)
DFL (385 params)